

Procurement Process

Standard Operating Procedure • Finance Department • Version 2.4 • Effective: March 1, 2025

1. Purpose

This Standard Operating Procedure defines the end-to-end procurement process for all goods, services, and capital expenditures at ACME Corporation. It ensures compliance with financial controls, promotes fair vendor selection, and maximizes value for money across all purchasing activities.

2. Scope

This SOP applies to all employees initiating purchase requests, all departments, and all third-party vendors engaged by ACME Corporation. It covers direct procurement (production materials) and indirect procurement (office supplies, IT equipment, professional services).

3. Key Roles & Responsibilities

Requestor	Any employee initiating a purchase need. Responsible for submitting accurate Purchase Request with business justification.
Line Manager	Reviews and approves PR for operational need and budget availability for purchases under \$500.
Procurement	Manages vendor sourcing, RFP/RFQ process, contract negotiation, and PO issuance.

Finance Director Approves all purchases between \$5,001 and \$25,000. Reviews budget impact.

CEO / Board Final approval authority for high-value procurements above \$25,000.

4. Approval Thresholds

All purchase requests must be approved by the appropriate authority based on total purchase value:

Purchase Value	Approval Authority	Required Documents
Under \$500	Line Manager	Purchase Request Form
\$500 - \$5,000	Department Head	PR Form + 2 Quotations
\$5,001 - \$25,000	Finance Director	PR Form + 3 Quotations + Justification
\$25,001 - \$100,000	CEO	Full RFP + Committee Review
Above \$100,000	Board of Directors	Tender Process Required

5. Procurement Process Steps

Step 1: Identify the Need

- Department identifies a procurement need aligned with annual budget or project requirements.
- Requestor verifies that the item/service is not already available internally or under an existing contract.
- Requestor confirms budget availability with Finance before proceeding.

Step 2: Raise Purchase Request (PR)

- Requestor submits a Purchase Request via the ERP system (SAP Module MM).
- PR must include: item description, quantity, estimated cost, required delivery date, and cost center.
- Supporting documents (specifications, references) must be attached.

Step 3: PR Review & Approval

- Line Manager reviews the PR within 2 working days and approves or rejects with comments.
- Rejected PRs are returned to the Requestor with written justification.
- Approved PRs are automatically routed to the Procurement team via the ERP workflow.

Step 4: Vendor Sourcing & Quotation

- Procurement team identifies qualified vendors from the Approved Vendor List (AVL).
- For purchases above \$500: minimum 2 comparable quotations required.
- For purchases above \$5,000: formal Request for Quotation (RFQ) issued; minimum 3 responses required.
- For purchases above \$25,000: full Request for Proposal (RFP) issued with technical and commercial evaluation.

Step 5: Vendor Evaluation & Selection

1. Evaluate responses against pre-defined criteria: price (40%), quality (30%), delivery timeline (20%), vendor reliability (10%).
2. Prepare Bid Evaluation Report (BER) with scoring matrix.
3. Select preferred vendor and obtain required approvals per Section 4.
4. Notify unsuccessful vendors professionally within 5 working days of decision.

Step 6: Purchase Order Issuance

- Procurement raises a Purchase Order (PO) in the ERP system upon approval.
- PO includes: item details, agreed price, payment terms, delivery date, and quality specifications.
- Signed PO is shared with the vendor; verbal or email-only orders are not binding.

Step 7: Goods/Service Receipt

- Requestor or designated team member inspects goods upon delivery against PO specifications.
- Discrepancies must be reported to Procurement within 24 hours.
- Goods Receipt Note (GRN) is created in ERP to confirm receipt and trigger invoice processing.

Step 8: Invoice Processing & Payment

- Three-way match is performed: PO vs. GRN vs. vendor invoice.
- Matched invoices are forwarded to Finance for payment within agreed payment terms (typically Net-30).

- Discrepancies are escalated to Procurement for vendor resolution before payment is released.

6. Emergency Procurement

In cases of business-critical emergencies where standard timelines cannot be met, the Department Head may authorize emergency procurement up to \$10,000 with post-fact documentation submitted within 48 hours. All emergency purchases must be justified in writing and reviewed by Finance within 5 working days.

7. Vendor Management

- All new vendors must be onboarded via the Vendor Registration Portal and vetted by Procurement.
- Vendor performance is reviewed quarterly using the Vendor Scorecard system.
- Vendors with two consecutive poor performance ratings are placed on probation.
- Conflicts of interest between employees and vendors must be declared immediately to Compliance.

8. Non-Compliance

Purchases made outside this process (maverick spending) will not be reimbursed and may result in disciplinary action. Employees found to have received personal benefits from vendors will face immediate investigation under the Anti-Bribery and Corruption Policy.

9. Document Retention

All procurement documents including PRs, quotations, POs, GRNs, and invoices must be retained for a minimum of 7 years in the document management system in accordance with financial audit requirements.

Approved by: Chief Financial Officer | Reviewed by: Internal Audit | Next Review: March 1, 2026